LARKSPUR VALE
CAPITAL

Quarterly Client Review

Third quarter 2026

Market and company data as of September 30, 2026

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For clients of Larkspur Vale Capital. This review describes markets and the businesses we own; it does not report investment performance. Please read the important information at the end.

The quarter at a glance

Four figures that frame the review. Each is defined, dated and sourced on the pages that follow.

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10-year Treasury yield

5.29%

+0.85 pt in the quarter

Consumer price inflation

3.4%

year over year, August 2026

Unemployment rate

4.1%

-0.2 pt over 12 months, August 2026

Revenue growth of our holdings

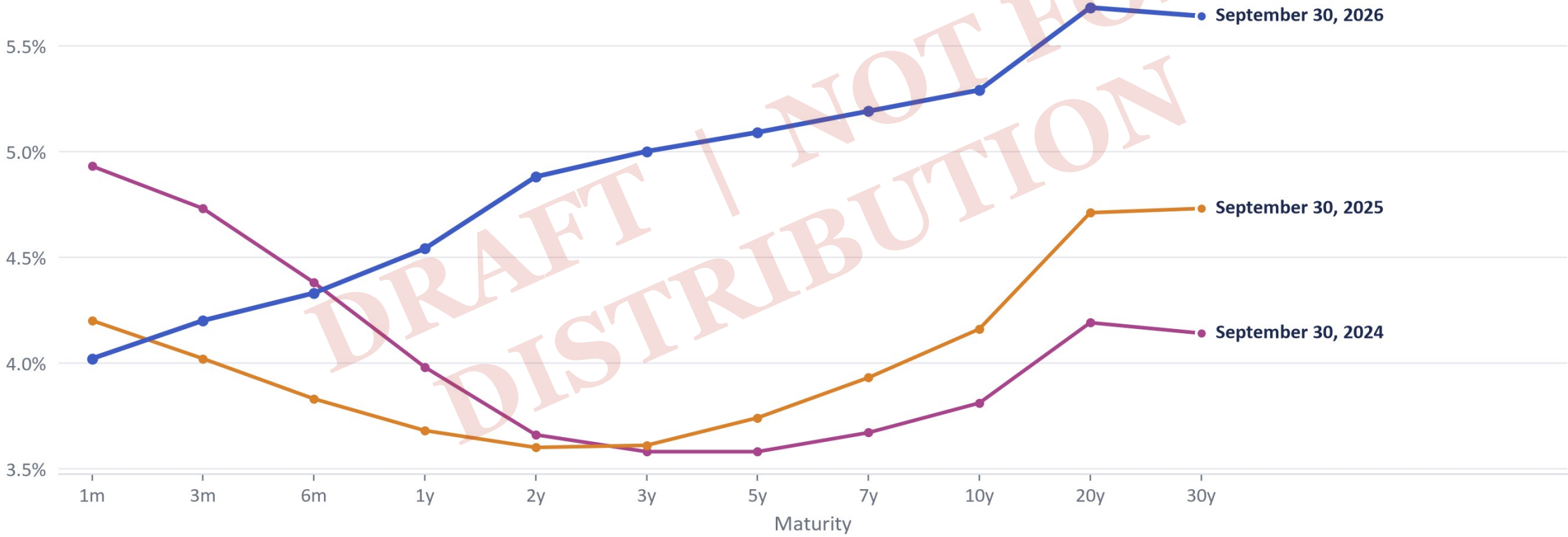
11.7%

a year, compounded over five fiscal years

Sources: Federal Reserve (H.15) and U.S. Bureau of Labor Statistics via FRED; company 10-K filings via SEC EDGAR. Monthly data shown as published by the as-of date.

The Treasury curve slopes upward: 10-year minus 3-month is +1.09 pt

A year earlier the same spread was +0.14 pt. Long yields set the discount rate applied to every business we own.

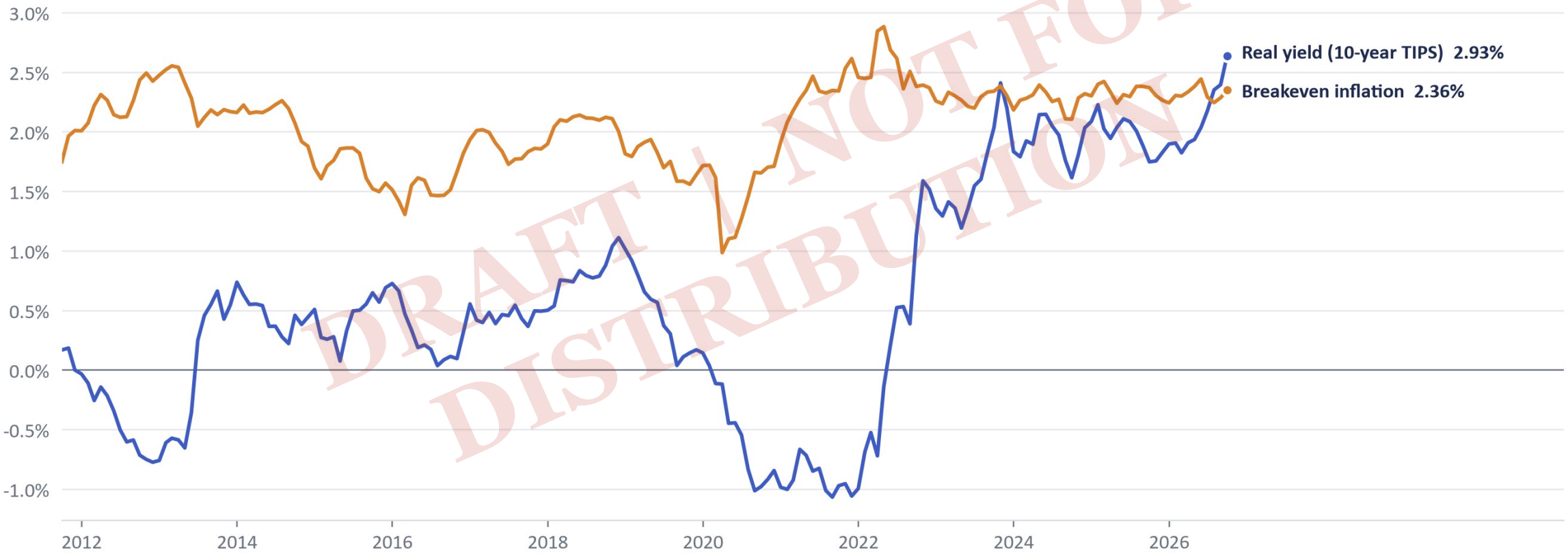


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Source: Board of Governors of the Federal Reserve System (H.15), via Federal Reserve Bank of St. Louis (FRED); series DGS1MO, DGS3MO, DGS6MO, DGS1, DGS2, DGS3, DGS5, DGS7, DGS10, DGS20, DGS30. Retrieved 2026-11-06. Constant-maturity yields, last business day on or before each date.

10-year real yields reach 2.9%, the highest since at least 2009

The real yield is what a Treasury that protects against inflation pays over inflation; its 15-year average is 0.6%. Breakeven inflation, the rate implied by market prices, is 2.4%.

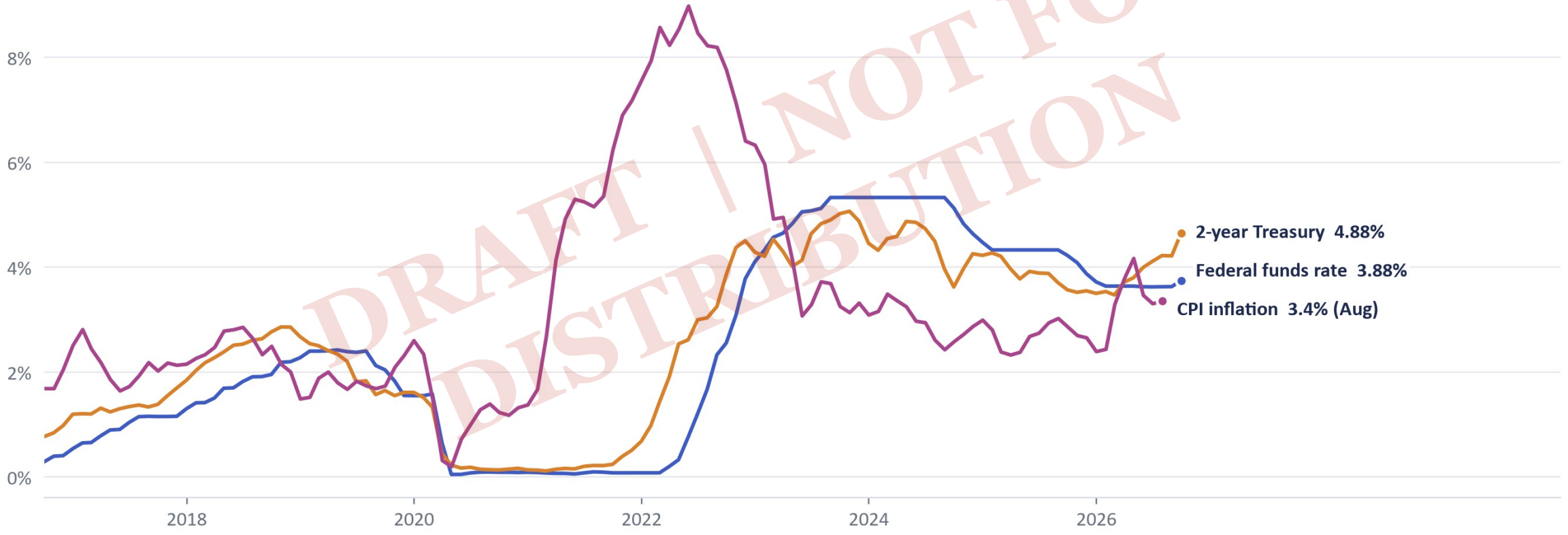


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Source: Board of Governors of the Federal Reserve System (H.15) (breakeven computed by FRED from H.15 yields), via Federal Reserve Bank of St. Louis (FRED); series DFII10, T10YIE. Retrieved 2026-11-06. Monthly averages of daily data; end labels show the quarter-end value.

The 2-year Treasury yields 1.00 pt above the federal funds rate

When the 2-year yield sits above the policy rate, bond prices imply a higher average policy rate over the next two years, before any term premium. Consumer prices rose 3.4% in the year to August 2026.



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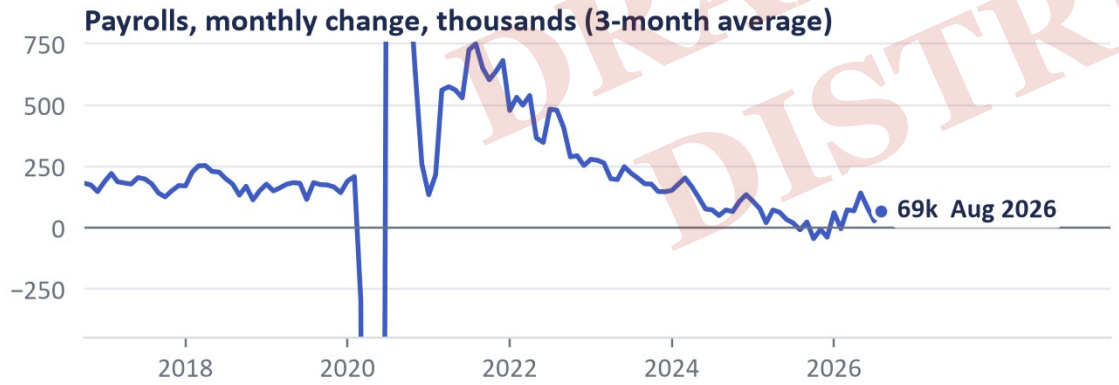
Source: Board of Governors of the Federal Reserve System (H.15); U.S. Bureau of Labor Statistics, via Federal Reserve Bank of St. Louis (FRED); series DFF, DGS2, CPIAUCSL. Retrieved 2026-11-06. Rates are monthly averages of daily data; end labels show quarter-end values. No data published for October 2025 (CPIAUCSL): the line breaks there.

Jobs growth slowed to 69k a month, from 142k; inflation 3.4%

The four monthly series that most often change the conversation with clients, over ten years.









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Source: Board of Governors of the Federal Reserve System (G.17); U.S. Bureau of Labor Statistics, via Federal Reserve Bank of St. Louis (FRED); series CPIAUCSL, UNRATE, PAYEMS, INDPRO. Retrieved 2026-11-06. Payroll axis clipped at the 2020 extremes. Monthly data as published by the as-of date. No data published for October 2025 (CPIAUCSL, UNRATE): the line breaks there.

Our companies turn 20% of revenue into free cash flow

Weighted revenue growth of 11.7% a year over five years; 9 of 10 have fewer shares outstanding than five years ago.

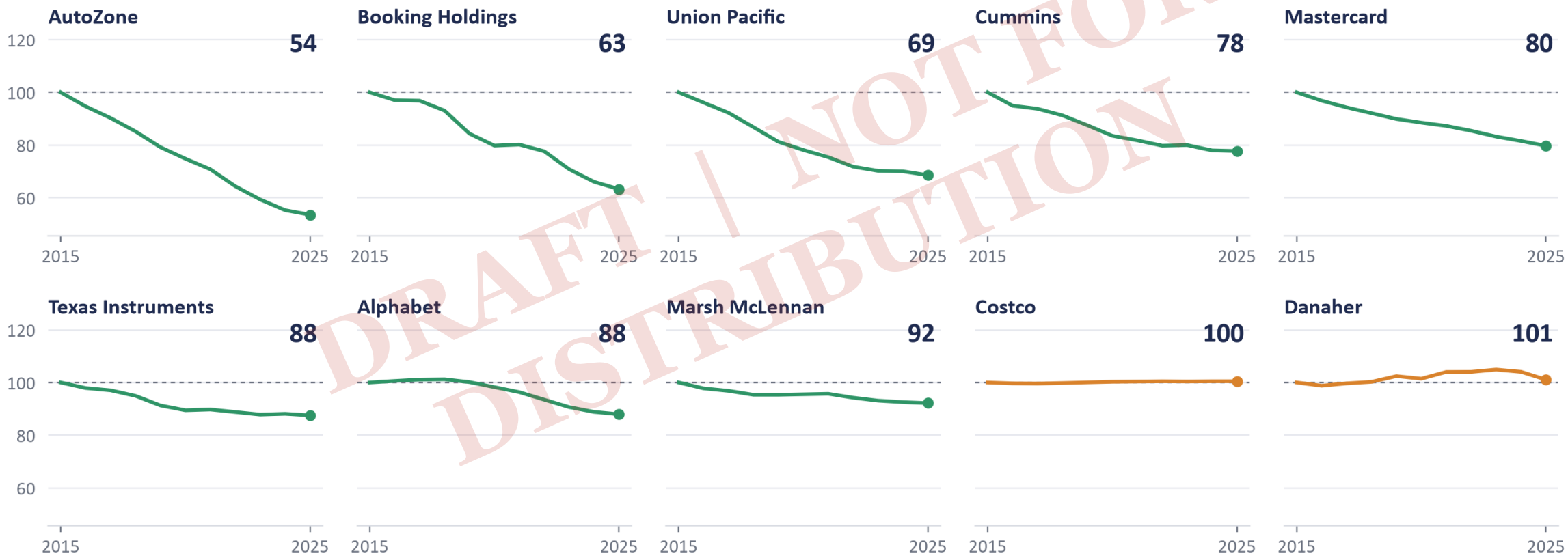
Company	Weight	FY	Revenue growth 5-yr CAGR	Operating margin	Margin change over 5 yrs	Free cash flow margin	Share count change, 5 yrs	Cash returned % of FCF, 5 yrs
Alphabet	12%	2025	17.2%	32.0%	+9.4 pt	18.2%	-10.5%	87%
Costco	11%	2025	10.5%	3.8%	+0.5 pt	2.8%	+0.2%	76%
Mastercard	10%	2025	16.5%	57.6%	+4.8 pt	52.3%	-9.9%	91%
Marsh McLennan	10%	2025	9.4%	23.1%	+5.3 pt	18.5%	-3.5%	73%
Texas Instruments	9%	2025	4.1%	34.1%	-6.7 pt	14.7%	-2.1%	166%
Danaher	9%	2025	2.0%	19.1%	+0.1 pt	21.4%	-0.4%	42%
AutoZone	9%	2025	8.4%	19.1%	-0.1 pt	9.5%	-28.4%	143%
Booking Holdings	9%	2025	31.7%	32.8%	+42.1 pt	33.8%	-20.7%	100%
Union Pacific	9%	2025	4.6%	40.2%	+0.1 pt	22.4%	-12.3%	122%
Cummins	9%	2025	11.2%	12.0%	+0.5 pt	7.1%	-6.9%	80%
Portfolio, weighted	**97%**		**11.7%**	**27.3%**	**+5.6 pt**	**20.0%**	**-9.2%**	**97%**

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Source: company 10-K filings via SEC EDGAR (XBRL company facts), filed on or before the as-of date; most recent restatement of each year. FY = latest fiscal year reported. Free cash flow = operating cash flow minus capital expenditure. Weights exclude cash. Five-year comparisons for calendar-year companies start in fiscal 2020, when the pandemic cut travel: Booking's operating margin was negative that year, which explains its growth and margin change.

8 of 10 companies have fewer shares than ten years ago

Each line is shares outstanding indexed to 100 ten fiscal years ago. A falling line means each share we own is a larger slice of the business; AutoZone has retired 46% of its shares.

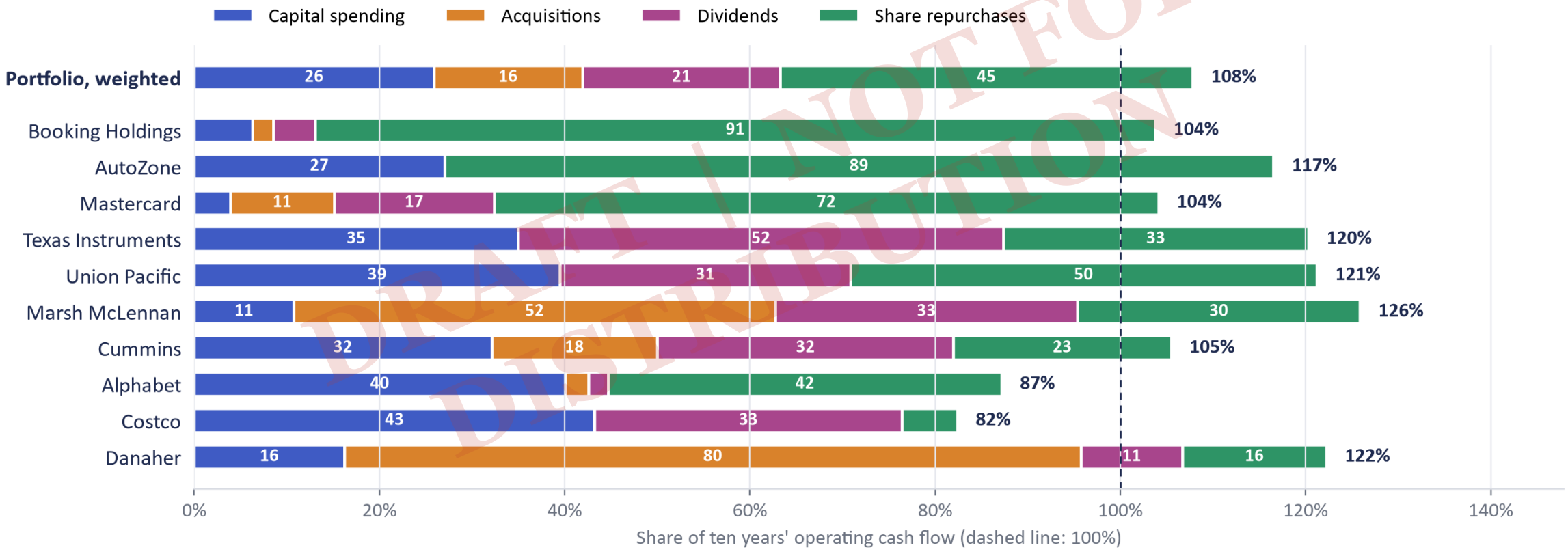


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Source: company 10-K filings via SEC EDGAR. Weighted-average diluted shares (Alphabet: shares outstanding at year end, the only all-class series it files). Year-over-year ratios are taken from within one filing, so stock splits (Alphabet's 20-for-1 in 2022, for example) do not distort the line.

In ten years our companies paid owners 66% of operating cash

They reinvested another 42% in their businesses. Eight of ten companies spent more than their operating cash flow over the decade, drawing on borrowing or cash on hand.



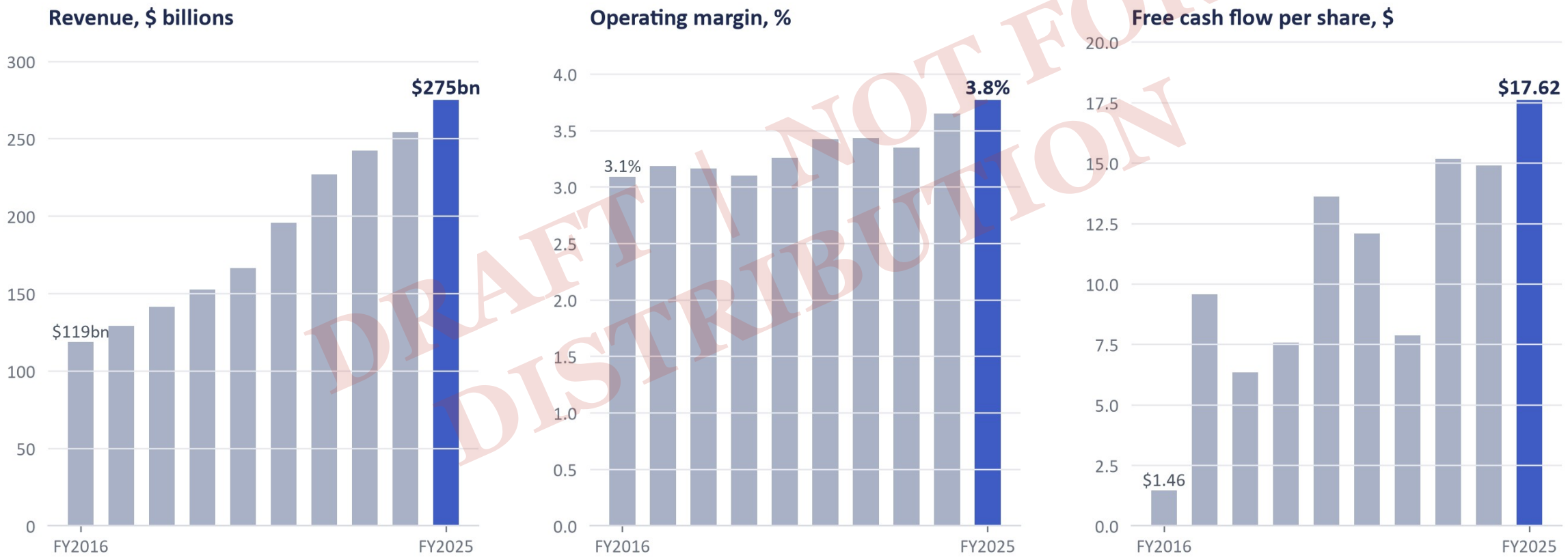
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Source: company 10-K cash flow statements via SEC EDGAR, ten fiscal years summed per company. Fiscal years as each company reports them (Costco ends in August; AutoZone ends in August). Portfolio row weights companies as held today. Lines a company does not file in a year count as zero; each case is listed in the review checklist.

FEATURED HOLDING

Costco: revenue up 10% a year since fiscal 2016; operating margin 3.8%

Free cash flow per share averaged $15.90 in fiscal 2023-2025, 2.7 times the $5.80 of fiscal 2016-2018. This page rotates through the portfolio; it describes the business, not the stock's return.

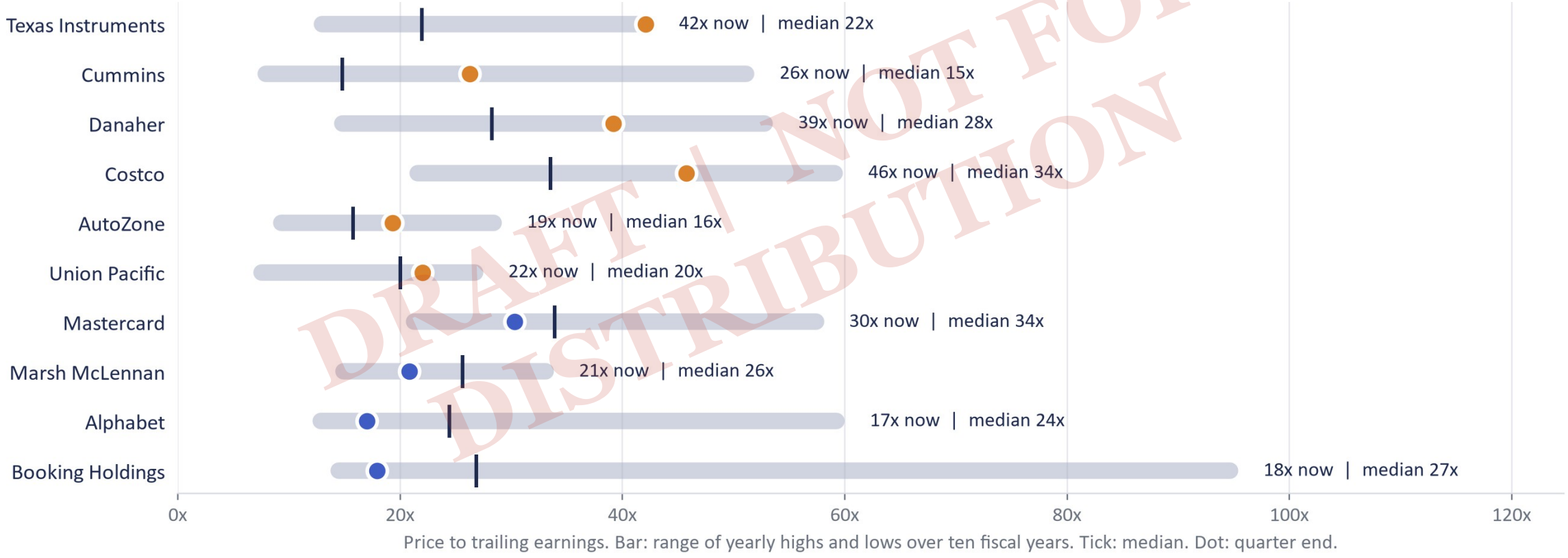


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Source: Costco 10-K filings via SEC EDGAR, fiscal years 2016-2025. Free cash flow = operating cash flow minus capital expenditure; per share on weighted-average diluted shares.

6 of 10 holdings trade above their own ten-year median P/E

The portfolio's weighted earnings yield is 4.0%, against 5.29% on the 10-year Treasury. Valuation is one input to our decisions, not a forecast.



Price to trailing earnings. Bar: range of yearly highs and lows over ten fiscal years. Tick: median. Dot: quarter end.

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Source: roic.ai standardized multiples, Federal Reserve H.15 via FRED. Trailing GAAP diluted earnings from the latest quarter reported 45 days before quarter end, rolled forward to the quarter-end price. Older trailing data, because later vendor rows are empty: AutoZone (February 2026).

Valuation and returns on capital, holding by holding

P/E rolled to the quarter-end price; enterprise value to EBITDA at the vendor's period-end price.

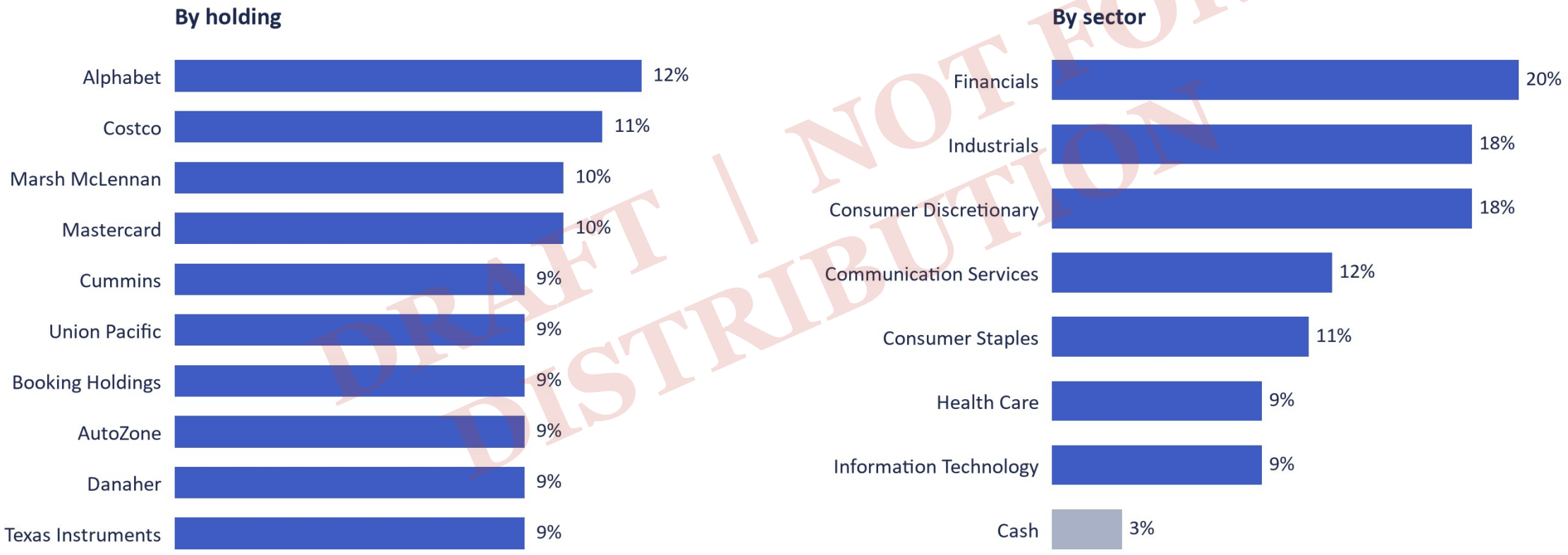
Company	Weight	P/E now	10-yr median	vs median	EV / EBITDA	Return on invested capital	Trailing data through
Alphabet	12%	17.0x	24.4x	-30%	24.6x	20.8%	Jun 2026
Costco	11%	45.7x	33.5x	+36%	29.9x	21.9%	May 2026
Mastercard	10%	30.3x	33.9x	-11%	21.4x	55.9%	Jun 2026
Marsh McLennan	10%	20.8x	25.6x	-19%	14.5x	12.0%	Jun 2026
Texas Instruments	9%	42.1x	21.9x	+92%	29.5x	20.3%	Jun 2026
Danaher	9%	39.2x	28.3x	+39%	20.4x	5.8%	Jun 2026
AutoZone	9%	19.3x	15.8x	+22%	17.7x	32.0%	Feb 2026
Booking Holdings	9%	17.9x	26.9x	-33%	13.9x	65.6%	Jun 2026
Union Pacific	9%	22.0x	20.0x	+10%	15.0x	15.0%	Jun 2026
Cummins	9%	26.3x	14.8x	+78%	20.7x	12.8%	Jun 2026

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Source: roic.ai standardized fundamentals. Return on invested capital as defined by the vendor. Trailing data end on the dates shown; vendor fundamentals can lag company filings by a quarter or more.

10 holdings in 7 sectors; the largest, Alphabet, is 12%

Weights at September 30, 2026, as a share of the strategy's model portfolio, including cash.



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Source: Larkspur Vale Capital holdings records. Sector classification is the firm's own.

Since last quarter: 5 weight changes; 10-year yield +0.85 pt

Compared with the archived review for the second quarter of 2026. Previous values are read from that review's archive, not retyped.

Market and economy	2026 Q2	2026 Q3	Change
10-year Treasury yield	4.44%	5.29%	+0.85 pt
2-year Treasury yield	4.14%	4.88%	+0.74 pt
10-year minus 3-month, pt	+0.57	+1.09	+0.52 pt
10-year real yield	2.20%	2.93%	+0.73 pt
Effective federal funds rate	3.63%	3.88%	+0.25 pt
CPI inflation, year over year	4.2%	3.4%	-0.8 pt
Unemployment rate	4.3%	4.1%	-0.2 pt
Payrolls, 3-month average change (k)	142	69	-73

Portfolio	2026 Q2	2026 Q3	Change
Cummins	8%	9%	+1 pt
Alphabet	11%	12%	+1 pt
Texas Instruments	8%	9%	+1 pt
Costco	12%	11%	-1 pt
Union Pacific	10%	9%	-1 pt
Cash	4%	3%	-1 pt
Company filings during the quarter			24

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Sources: as on the earlier pages; previous values read from the archived snapshot of the previous review. Company filings counted from SEC EDGAR submissions (10-K, 10-Q, 8-K, proxy statements).

How this review is built

Data as of September 30, 2026. Built 2026-11-06 by the firm's client-deck routine.

Data sources

FRED (Federal Reserve Bank of St. Louis): DGS1MO, DGS3MO, DGS6MO, DGS1, DGS2, DGS3, DGS5, DGS7, DGS10, DGS20, DGS30, DFII10, T10YIE, DFF, CPIAUCSL, UNRATE, PAYEMS, INDPRO. Only series FRED labels Public Domain: Citation Requested (Federal Reserve H.15 and G.17, BLS). Retrieved 2026-11-06.

SEC EDGAR: XBRL company facts (data.sec.gov/api/xbrl/companyfacts) for ten holdings; one company extension element read from the filing's own XBRL instance (Alphabet acquisitions); filing lists from data.sec.gov/submissions.

roic.ai v3 API: standardized TTM and annual valuation multiples, return on invested capital, daily prices and split history, used under roic.ai's terms of use.

Firm records: holdings, weights and sector classification (config/portfolio-<period>.json).

What is not in this review

Investment performance, returns, benchmarks, forecasts and recommendations. Pages describe markets and businesses only.

Methods

Point in time: company figures come only from 10-Ks filed on or before the as-of date; each fiscal year uses the most recent filed restatement. Monthly economic data are treated as published 45 days after the month begins.

Fiscal years as each company reports them (Costco ends in August; AutoZone ends in August).

Tags: each figure uses an ordered list of XBRL tags; changes of tag and gaps are listed in the review checklist.

Share counts are chain-linked using year-over-year ratios taken from within one filing, so stock splits do not distort them.

Portfolio figures weight each holding by its share of invested assets (cash excluded).

Every number shown is listed, with its source record, in the figure ledger archived with this deck.

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BEFORE YOU READ FURTHER

LARKSPUR VALE CAPITAL

Important information

Larkspur Vale Capital is a fictional firm created for a Latticework course. This material is for illustration only. It is not an offer or solicitation, and it is not investment advice. The companies shown are discussed as examples of analysis; their inclusion is not a recommendation. Data come from public sources believed reliable but not guaranteed.

[Firm-specific disclosure language approved by the Chief Compliance Officer goes here: adviser registration status, where the Form ADV Part 2 can be obtained, risks of the strategy, and any language the firm's policies require.]

This review does not report or imply investment performance. Statements about markets describe conditions on the dates shown and are not predictions. Past company results do not indicate future results.

Third-party data are used under each provider's terms. Treasury and economic data: Board of Governors of the Federal Reserve System and U.S. Bureau of Labor Statistics, via FRED, Federal Reserve Bank of St. Louis. Company data: filings with the U.S. Securities and Exchange Commission. Valuation multiples and returns on capital: roic.ai.

Review record

NOT APPROVED. This draft has not been reviewed by the firm's compliance function and must not be distributed.

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